

This intraday strategy applies the Supertrend indicator on a 5-minute Bank Nifty chart for selling the ATM call and puts options of Bank Nifty based on the directional signals generated by the Supertrend indicator.

Let's take a look at one example.

As you can see on the chart, at the 9:20 a.m. the price is above the Supertrend indicator and it is also green - this indicates an emerging uptrend.

At this point, we will sell an at the money put option of the weekly expiry. Notice that we are selling options instead of buying to take advantage of the Theta decay. Meaning, we are going to profit unless the price goes against our direction extremely fast.

We will cover our the option whenever the Supertrend changes its color into red. This provides with another trading opportunity and we can sell an at the money call at this level as shown in the above image.



We will continue to take trades in this manner. Meaning, we will continue to sell ATM calls and puts whenever the Supertrend indicator changes its colors. This systematic alternating of calls and puts will continue till 3:15 p.m. We will stop trading after 3:15 p.m.

Look how easy this strategy is. The dynamic bands of the Supertrend indicator acts as the exit trigger instead of rigid stoplosses.

Now, I will show you the backtested results of this strategy.